Unit 5

Concepts of Poverty

Learning Outcomes After studying this module, you shall be able to

- To know the concept of Poverty
- To familiarise with different concepts of poverty
- To know the different measurements of poverty

Introduction

Poverty is defined as a lack of a normal or socially acceptable quantity of money or material belongings. That is lack of resources to meet one's fundamental necessities. In this setting, identifying impoverished individuals necessitates first determining what defines basic necessities. These can be characterised as "those required for survival" or "those representing the predominant level of life in the society." The first criterion would apply exclusively to persons on the verge of famine or death from exposure; the second would apply to people whose nourishment, shelter, and clothes, while adequate for survival, fall short of those of the general population.

Poverty is a multi-dimensional concept. It is basically a socio-economic phenomenon in which a portion of the society is deprived of the basic amenities of life. The definition of poverty has differed from country to country and also time to time for a nation. The third world countries exhibit higher levels of poverty than the developed world.

Though attempts have been made in all countries to define poverty, but the difference arises as to 'what minimum standard of living' should be. The similarity happens because everyone is unanimous on deprivation concept. The concept of Poverty in developed countries is significantly different from India because the average person is able to afford a much higher standard of living there. Invariably, there is an effort in all definitions of poverty to approach 'the average level of living' and the acceptance of the existence of inequalities. To quote Swami Vivekananda "In human society too much wealth or too much poverty is a great impediment

to the higher development of the soul. It is from the middle classes that the great ones of the world come. Here the forces are very equally adjusted and balanced".

Amartya Sen's 'Capability Approach' adds a new dimension to understanding poverty. He points out that poverty cannot be measured properly by income or even the goods and services available to the people or even by utility as conventionally accepted. What really matters is not the things a person has but what a person can do or does with those things. Thus, it is the capability to function that decides welfare and therefore happiness. In the Indian context, poverty has been a persistent and systemic issue, intricately linked to the country's colonial past, post-independence economic policies, and socio-cultural inequalities. The complexity of poverty in India necessitates a multidimensional approach for both its analysis and alleviation.

Concepts of poverty

1) **Definition of Poverty:**

Generally, poverty is a condition where a person lacks the financial resources to meet basic living needs like food, shelter, clothing, healthcare, and education. World bank in its World Development Report defined "Poverty is pronounced deprivation in well-being, comprising many dimensions. It includes low incomes and the inability to acquire the basic goods and services necessary for survival with dignity." United Nation's Multidimensional definition "Poverty is the denial of choices and opportunities, a violation of human dignity. It means lack of basic capacity to participate effectively in society" (UN Statement, 1998). But Amartya Sen's definition shifts the focus from resources (means) to capabilities (ends) i.e., the ability to lead a life one has reason to value. The definition goes "Poverty must be seen as the deprivation of basic capabilities rather than merely as lowness of incomes." So, we can define poverty by integrating all the above definition as "Poverty is a multidimensional condition of deprivation that limits an individual's or household's capacity to attain a minimally acceptable standard of living. It encompasses not only inadequate income or consumption, but also deficits in health, education, housing, dignity, and the ability to participate fully in society. Poverty may be chronic or transient, absolute or relative, and is shaped by structural, social, and individual factors."

2) Dimensions of Poverty:

Dimensions of poverty are the multiple and overlapping aspects of deprivation that affect people's well-being and quality of life. It can be Economic Poverty (Based on income and consumption), Social Poverty (Exclusion from social and cultural life) and Capability Poverty (Lack of ability to live the kind of life one values).

a) Economic Poverty:

Economic poverty refers to insufficient material resources to meet basic needs such as food, clothing, shelter, and healthcare. It is typically quantified using income-based or consumption-based thresholds, such as:

- **Absolute Poverty**: Defined by fixed income thresholds (e.g., the World Bank's $2.15/day line).
- **Relative Poverty**: Defined in relation to societal standards (e.g., earning less than 60 percent of the median income).

Economic Poverty have sub-dimensions like Income poverty and Consumption poverty. Income poverty is measured in terms of per capita income or household income. It reflects the monetary capacity to purchase goods and services. Whereas Consumption poverty focuses on actual consumption or expenditure rather than income, often seen as more accurate in contexts where income is variable (like agrarian economies). Most national and international poverty alleviation policies (e.g., cash transfers, subsidies) are based on economic measures. However, economic measures often mask disparities such as:

- Unequal access to infrastructure
- Inadequate service delivery
- Economic insecurity and vulnerability to shocks

b) Social Poverty:

Social poverty refers to the exclusion from meaningful participation in social, cultural, and political life. It is deeply tied to concepts of belonging, recognition, and social integration. It reflects relational deprivation rather than material lack, and is often qualitative in nature. Key features of Social poverty are Social exclusion, Cultural deprivation and Political

marginalisation. Social exclusion is a process by which individuals or groups are systematically marginalized from full participation in society due to their identity, status, or group membership. Examples: Dalits in India facing caste-based exclusion, Ethnic minorities lacking access to legal systems or land and Migrants being excluded from housing or education. Cultural deprivation says the lack of access to cultural norms, identity expression, and heritage preservation. This can result in loss of language, erosion of indigenous practices and stereotyping and stigmatization. Whereas Political marginalistion explains the inability to participate in political decision-making processes, including lack of representation disenfranchisement and absence from policymaking tables. The major indicators of social poverty are levels of discrimination and stigma, access to public institutions (schools, hospitals), participation in community networks and governance and sense of agency and voice. Social poverty deepens material poverty by reducing access to resources and opportunities, causes psychological harm (including low self-esteem, alienation, and internalized oppression) and reduces the effectiveness of poverty alleviation programs due to lack of trust or access. Social poverty reminds us that poverty is relational and power-based, not just economic.

c) Capability Poverty

Capability poverty approach is rooted in Amartya Sen's Capability Approach, this dimension shifts the focus from what people have to what people can do and be. That is, Capability poverty is the inability to achieve basic capabilities - such as being healthy, educated, safe, and autonomous. It focuses on the real freedoms and opportunities people have to lead lives they value. Core concepts of Capability poverty approach includes functionings and capabilities. Functionings are the "beings and doings" of a person:

- Being nourished
- Being literate
- Being safe
- Participating in society

Whereas, capabilities are the set of functionings a person has real access to. It reflects one's potential to choose from different kinds of lives. For example, two women may both be illiterate, but one may be so due to lack of school access (capability poverty), while the other by choice (not capability poor). The major characteristics of capability poverty are

Multidimensional (includes health, education, shelter, voice, security, etc.) Freedom - oriented (concerned with substantive freedom rather than formal rights), Agency-based (recognizes individuals as agents, not passive recipients of aid) and Context-specific (what counts as a capability depends on social and cultural context). Capability poverty can be measured by using Human Development Index (HDI) based on education, life expectancy, and income and Multidimensional Poverty Index (MPI) which combines ten indicators across health, education, and living standards.

3) Broad Approaches to Understanding Poverty

There are two broad approaches to understanding poverty. They are: Monetary Approach (leads to absolute and relative measurement) and Non-Monetary or Multi-dimensional Approach (looks at factors like health, education, standard of living). That is monetary approach equates poverty with a lack of income or consumption and non-monetary or multidimensional approach views poverty as deprivation across various human capabilities and well-being dimensions. Each approach is explored with historical context, theoretical underpinnings, measurement methods, strengths, and limitations. Both have shaped global and national poverty reduction strategies, but they differ fundamentally in philosophical orientation, measurement techniques, and policy implications.

1. Monetary Approach to Poverty

The monetary approach defines poverty as a shortfall in command over economic resources, typically measured through income or consumption levels. It assumes that well-being is determined by the ability to purchase goods and services needed to satisfy basic needs. Income-Based Poverty measures whether a person or household's income falls below a predefined threshold. Here the absolute poverty line is a fixed income (e.g., World Bank's $2.15/day) considered sufficient for basic needs and relative poverty line is defined in relation to the median income (e.g., <60 percent of median household income in OECD countries). Whereas the Consumption-Based Poverty is more common in low-income countries due to unreliable income data. It assesses actual expenditures on food, housing, clothing, health, etc. and captures actual standard of living, not just potential purchasing power.

2. Non-Monetary or Multidimensional Approach to Poverty

The non-monetary approach, also called the multidimensional approach, defines poverty as deprivation in multiple domains of human life, not just lack of income. This perspective sees poverty as the absence of essential capabilities, including education, health, shelter, security, empowerment, and dignity. This approach is based on Amartya Sen's Capability Approach (1980s onwards) and Basic Needs Approach (ILO, 1976). According to Capability Approach poverty is the inability to achieve valuable functionings due to lack of freedoms and capabilities. It emphasizes what people can actually do and be - not just what they have. This approach shifts focus from resources to opportunities and choices. Basic Needs Approach identifies minimum conditions necessary for human survival and development (e.g., nutrition, sanitation, education).

The key measurement tools of Multidimensional approach include Human Development Index and Multidimensional Poverty Index. UNDP's Human Development Index combines indicators of health (life expectancy), education (mean and expected years of schooling) and income (GNI per capita). On the other hand, Multidimensional Poverty Index developed in 2010 by Sabina Alkire and James Foster considers three dimensions like Health (Child mortality and nutrition), Education (years of schooling and school attendance) and Living Standards (access to clean water, sanitation, electricity, flooring, cooking fuel and assets). Here a person is considered multidimensionally poor if deprived in ≥33 percent of weighted indicators.

Absolute Measurement of Poverty

The concept of Absolute poverty is associated with a minimum level of living or minimum consumption requirements of food, clothing, house, health and so on. Therefore, absolute poverty can be defined as the 'inability to achieve the minimum requirements of life, health and efficiency due to very low income or inadequate assets. Poverty is viewed as a 'state of absolute deprivation'. Absolute poverty is defined in terms of a certain normative minimum level of living operationally measured by 'consumption expenditure' that is necessary to ensure that 'minimum desirable level of living'. Therefore, all those people who are deprived of these minimum consumption requirements are categorized as poor.

The minimum consumption requirements include

i. a reasonable satisfactory nutritional diet
ii. reasonable clothing, housing etc
iii. access to minimum level of education, health, water facilities etc.

Absolute poverty is a more comprehensive concept than relative poverty, as it manifests itself in denial of basic/minimum 'human requirements' of food, clothing, shelter, education, health and so on. The eradication of absolute poverty is challenging but nonetheless one of the most important priority of every country. Thus, a state of absolute poverty is characterized by low life conditions in the form of disease, illiteracy, malnutrition, and squalor which denies a minimal state of human existence. Poverty is also taken as 'denial of human rights' and is a major challenge for the planners. In this state of poverty, even if the country is growing economically it has no effect on people living below the poverty line. Absolute poverty compares households based on a set income level. And this level varies from country to country depending on its overall economic conditions.

Relative Measurement of Poverty

Relative poverty refers to the income or asset position of one class or group of people in comparison with the other classes or groups, or one individual vis-a –vis the other. The essential point of significance is that poverty of one is relative to the richness of the other. For example, an average middle-class person is relatively poor when compared to an upper middle-class person. The upper middle-class person is relatively poor in comparison to the richer persons. This kind of comparison does not consider the level of economic conditions, whether he is sufficiently endowed or not. The condition of the person is understood in relation to what others have. The concept of relative poverty is essentially a problem of inequality: inequality of income and ownership of assets.

Relative poverty is when households receive 50 per centage less than average household incomes. So, they do have some money but still not enough money to afford anything above the basics. On the other hand, relative poverty is changeable depending on the economic growth of the country.

- Relative poverty is sometimes described as “relative deprivation” because the people falling under this category are not living in total poverty. They are not, however, enjoying the same standard of life as everyone else in the country. It can be TV, internet, clean clothes, a safe home (a healthy environment, free from abuse or neglect), or even education.
- Relative poverty can also be permanent. This means that certain families have absolutely no chance of enjoying the same standards of living as other people in the same society currently have access to.

- They are basically “trapped” in a low relative income box.

Relative poverty is a form of social exclusion because it’s the inability to access what you need for a decent life. Relatively speaking, in more developed countries, it’s being excluded from what constitutes normal daily life including internet to access jobs or public services, the proper clothes to find that job, paying for education and access to decent housing (respiratory diseases is one of the most common symptoms of poor housing). So relative poverty depends on the level of development of the country. It’s about giving everyone the chance to enjoy the same living standards so that everyone has an equal opportunity to live their life to their full potential. In that sense, fighting poverty is about unlocking huge, untapped economic potential within each country.

Differences between Absolute Poverty and Relative Poverty

Absolute Poverty	Relative Poverty
Any person not in a position to obtain essential commodities like food, shelter and clothing are said to experience absolute poverty	Relative poverty does not concentrate on biological needs but rather makes a comparison between two people in the environment
Income Level is considered in Absolute Poverty	It is not considered when measuring relative poverty as a person will still be considered poor despite meeting his/her basic needs
Absolute poverty, however, does not include a broader quality of life issues or the overall	Although people living in relative poverty are to an extent well-off compared to those living in

level of inequality in society. What the concept fails to recognize is that individuals also have important social and cultural needs.	absolute poverty, they still cannot afford the same standard of life as other people in society.
Measured using Poverty Line	Measured Using the Gini Coefficient and Lorenzo Curve
It is not possible to completely eradicate absolute	There is a small margin of success where its eradication is concerned
Quality of life is poor	Quality of life is marginally better as those living under relative poverty have access to health care services

How poverty is measured

To measure whether poverty is absolute or relative you first have to construct thresholds. You must also collate data to calculate the overall number of people who could be considered poor.

Then, when a relative approach is used, a (changeable) level of what households should be able to rely on in order to meet their basic needs is set. And anyone who falls below that is counted in this category. The absolute method is set at a fixed level that does not change over time. There might be a huge gap between the current level of poverty and the historical standard when this approach is used. Absolute poverty is, therefore, losing its status in the world of economics. Especially in countries where the economy is growing and living standards are rising.

Since the relative approach to measuring poverty uses current data and statistics. It is considered a better and more useful approach. Relative poverty is the main measurement used today because in practice it indicates the number of households that have been “relatively” left behind. Left behind from the households that are currently enjoying a good standard of living. However, unlike the relative method, the absolute approach helps us to determine whether incomes have increased over time or not. This being said, it does not link the condition with inequality or unfair distribution of resources. It is for this reason that many economic experts

throughout the world suggest that a hybrid approach should be used. Especially for the measurement of poverty in order to pinpoint areas where improvement is possible.

Multidimensional Poverty

Traditional poverty measures often focus solely on income or consumption levels. Multidimensional poverty, however, acknowledges that poverty is a complex issue with various interconnected factors. Multidimensional poverty refers to the various deprivations a person experiences beyond just a lack of income, encompassing issues like poor health, lack of education, inadequate living standards, and social exclusion. It highlights the interconnected nature of poverty, where individuals often face multiple disadvantages simultaneously. The MPI typically considers three main dimensions including health (this might include indicators like nutrition, child mortality, and maternal health), education (this can involve years of schooling, school attendance, and child enrolment) and living standards (this dimension often covers access to basic services like clean water, sanitation, electricity, housing, and assets).

Key Aspects of Multidimensional Poverty:

1. Beyond Income:

Traditional poverty measures focus on income or consumption levels. Multidimensional poverty, however, recognizes that poverty is a complex issue with multiple facets.

2. Multiple Deprivations:

Individuals experiencing multidimensional poverty suffer from overlapping disadvantages, such as poor health, lack of education, inadequate housing, and limited access to resources.

3. Comprehensive Picture:

By considering various dimensions, multidimensional poverty provides a more complete understanding of the lived realities of poverty, helping to identify specific areas where interventions can be most effective.

By examining multiple dimensions, the MPI provides a more holistic view of poverty, revealing the specific deprivations faced by individuals and communities. The MPI is not meant to replace income-based poverty measures but rather to offer a complementary perspective, providing a more complete understanding of poverty's various facets. The MPI’s

disaggregated data allows for targeted interventions by identifying the specific deprivations that need to be addressed in different regions or communities

Multidimensional poverty is usually measured by using Multidimensional Poverty Index (MPI). The MPI is a widely used tool that measures poverty based on the number of deprivations individuals face across different dimensions. The global MPI uses three dimensions (health, education, and living standards) and ten indicators to assess poverty at the individual level. In India the NITI Aayog released its first national MPI report in 2021, using indicators such as nutrition, child mortality, years of schooling, sanitation, drinking water, electricity, and assets. India has made progress in reducing multidimensional poverty, but regional and group disparities persist.

The importance of MPI are:

a) Targeted Interventions:

Understanding multidimensional poverty allows for the design of more effective and targeted interventions to address the specific needs of individuals and communities.

b) Progress Monitoring:

The MPI can be used to track progress in poverty reduction and identify areas where efforts need to be intensified.

c) Informed Policy Making

By providing a comprehensive view of poverty, the MPI informs policy decisions aimed at improving the well-being of vulnerable populations.

Multiple Choice Questions

1. Which of the following best defines poverty in a multidimensional context?

   A) A lack of financial resources to meet basic living needs

   B) A condition where individuals can afford basic necessities but lack social inclusion

   C) A state of deprivation that limits an individual's capacity to attain a minimally acceptable standard of living

   D) A temporary situation affecting only a small part of the population\

   Answer: C

2. According to Amartya Sen's 'Capability Approach,' what is the primary focus when measuring poverty?

A) The amount of financial resources available to an individual

B) The ability to lead a life that one has reason to value

C) The societal standards for living

D) The number of basic necessities one can afford

Answer: B

3. Which of the following statements about absolute and relative poverty is true?

   A) Absolute poverty is defined by changeable income thresholds.

   B) Relative poverty helps determine whether incomes have increased over time.

   C) Absolute poverty uses fixed income thresholds that do not change over time.

   D) Relative poverty measures are less effective than absolute poverty measures.

   Answer: C

4. The Multidimensional Poverty Index (MPI) considers which of the following dimensions?

   A) Access to job opportunities

   B) Health, education, and living standards

   C) Cultural participation and social mobility

   D) Financial literacy and savings rates

   Answer: B

5. What distinguishes economic poverty from capability poverty?

   A) Economic poverty focuses solely on material deprivation, while capability poverty includes social exclusion.

   B) Economic poverty is measured by consumption levels, while capability poverty is based on individual choices.

   C) Economic poverty addresses income levels, whereas capability poverty relates to the ability to lead a valued life.

   D) Economic poverty is a temporary state, while capability poverty is a chronic condition.

   Answer: C

Unit 6

Poverty Estimation

Learning Outcomes After studying this module, you shall be able to

- To know the methodology of Poverty estimation
- To familiarise with different indicators of poverty line calculation
- To know the different data collection methods of poverty line calculation

Poverty Estimation

Historically, the Indian statistical system has led the world in the measurement of poverty. The sample surveys that were pioneered by Mahalanobis at the Indian Statistical Institute in Kolkata in the 1940s and 1950s were moved into the government statistical system as the National Sample Survey Organisation (NSSO), whose household surveys are the basis for the regular publications on poverty by the Planning Commission.

National statistical systems collect more than survey data, and much non-survey information is relevant for the monitoring of living standards. Most important are the National Accounts Statistics (NAS), which provide widely used measures of aggregate performance, particularly GDP and its components, much also comes from other sources.

In India, the most commonly used method to estimate poverty is through the measurement of income and consumption levels. A person is considered poor if his/her income level falls below a minimum level that fails to meet his/her basic needs. This minimum level is known as the 'poverty line'. When the income or consumption of an individual or the household he/she belongs to fall below minimum level then they are designated to be Below the Poverty Line.

The Poverty Line calculation is now carried out by the NITI Aayog through the calculation of the poverty line based on the data collected by the National Sample Survey Office (NSSO). It should also be noted that even though both income and consumption levels are measured while identifying the poor in India, its consumption expenditure that is taken primarily into account because of the following reasons:

Fluctuation in income: Income of those who are daily wage labourers, contract workers etc, vary factoring in the availability of work and the income offered although the consumption pattern is comparatively much stable

Additional Income: It's not always necessary that daily wage labourers or contract employees will have a single source of income. There will be other avenues from which they can earn their wages and this will be difficult to take into account

Collection of Data: Sample-based surveys use a reference period of 30 days when estimating a consumption level of a household and are taken as the representation of a general consumption pattern as tracing the income pattern is not possible.

Poverty Line Calculation: Consumption Verses Income levels

Poverty can be estimated using two main indicators namely Income-based approach, and Consumption expenditure-based approach.

Under the Income-Based Poverty Line approach, the poverty line is defined in terms of income—the minimum income required to purchase goods and services needed for a basic standard of living. Here the economists determine the minimum income per person per month or year required to afford essential goods and services. Then anyone earning below that income level is considered poor. The advantage of this method is that it reflects people's earning capacity and economic productivity and is easier to compare across regions or countries, as income data are often available from surveys and tax records. But in developing countries like India, many people work in the informal sector or are self-employed, making accurate income data unreliable and people's income may fluctuate seasonally (for instance, agricultural workers), while their actual consumption may remain more stable. Thus, income-based measures often underestimate poverty.

The Consumption Expenditure-Based Poverty Line estimates poverty based on actual consumption expenditure—what people spend to meet their needs rather than what they earn. Here initially identify a minimum calorie requirement. Then calculate the cost of food needed to meet this calorie intake and add the cost of non-food essentials like clothing, housing, fuel, healthcare, and education. The total gives the consumption expenditure poverty line.

In India, this approach is used by poverty estimation committees like Tendulkar Committee (2009) and Rangarajan Committee (2014) because of its advantages like it reflects actual living standards and what people are able to consume, more reliable in economies where informal employment and irregular incomes are common and consumption data are more stable and easier to collect through household surveys (like NSSO data). But this method is not free from the limitations. The important limitations are it does not fully capture changes in access to public goods (education, health, sanitation), may understate deprivation if people borrow or use savings to maintain consumption despite low income and consumption surveys can become outdated quickly with price changes and inflation.

The starting point for estimating the number of households below the poverty line is a normative nutritional requirement per person per day at some base point. Most acceptable minimum calorie requirement is 2400 calories per person per day in rural areas and 2200 calories per person in urban areas. The next step is to translate the nutrient requirement into monetary terms. The expenditure level of households which are able to spend the requisite amount to obtain the desired calories serves as the cut-off point, or the poverty line. To adjust the poverty line over a period of time, price variations have to be considered and an appropriate price deflator has to be selected.

The elements mainly affect the magnitude of the poverty ratio are: (i) the nutrition norm (translated into monetary terms) in the base year; (ii) price deflator used to update the poverty line: and (iii) pro rata adjustment in the number of households in different expenditure classes to determine the number of households below and above the poverty line. Different assumptions and methods are used for these three purposes, which accounts for the different estimates provided by scholars.

The Planning Commission, the nodal agency for estimating the number and proportion of people living below the poverty line at national and state levels, separately for rural and urban areas, makes poverty estimates based on a large sample survey of household five years. The methodology for estimation of poverty has been consumption expenditure carried out by the NSSO approximately every five years. The methodology for estimation of poverty has been reviewed from time to time. The Planning Commission constituted an Expert Group under the Chairmanship of Professor Suresh D. Tendulkar in December 2005, which submitted its report in December 2009. The recomputed poverty estimates for the years 1993-94 and 2004-05 as recommended by the Tendulkar Committee have been accepted by the Planning Commission.

As per the Tendulkar Committee Report, the national poverty line at 2004-05 prices was a monthly per capita consumption expenditure of ₹ 446.68 in rural and ₹578.80 in areas in 2004-05. The above poverty lines which refer to the national average vary from state to state because of price differentials. The Tendulkar Committee has mentioned in its report that proposed poverty lines have been validated by checking the adequacy of actual private expenditure per capita near the poverty lines on food, education and health by comparing them with normative expenditures consistent with nutritional, educational and health outcomes. In order to have a two-point comparison of changes in head count ratio, the Expert Group has re-estimated poverty for 1993-94. The head-count ratios for 1993 94 and 2004-05 as released earlier by the Planning Commission and the Tendulkar methodology are given in Table 6.1

Table 6.1

Poverty Ratios (%)

	Earlier Estimates (URP) based on the Lakdawala Methodology		**Estimates (MRP) based on the Tendulkar Methodology**	
	1993-94	2004-05	1993-94	2004-05
Rural	37.3	28.3	50.1	41.8
Urban	32.4	25.7	31.8	25.7
Total	36.0	27.5	45.3	37.2

Note: URP: uniform reference period; MRP: mixed reference period.

Source: Planning Commission.

The Planning Commission has updated the poverty lines and poverty ratios for 2011-12 based on the recommendations of the Tendulkar Committee using Household Consumer Expenditure Survey 2011-12 data of the National Sample Survey (NSS) 68th round. Accordingly, with the poverty line at all India level at monthly per capita expenditure (MPCE) of ₹ 816 for rural areas and ₹1000 for urban areas in 2011-12, the poverty ratio in the country has declined from 37.2 percent in 2004-05 to 21.9 percent in 2011-12. The Planning Commission constituted an Expert Group under the Chairmanship of Dr. C. Rangarajan in June 2012 to 'Review the Methodology for Measurement of Poverty'.

With Rangarajan Committee Report (June 2014), we now have yet mother methodology for measurement of poverty. The main criticism of the Tendulkar methodology was that its poverty lines had no explicit normative context and were based on the level of urban poverty as obtained

from the earlier Lakdawala methodology. Rangarajan has attempted to extend the normative concerns beyond food to some basic non-food essential like clothing, education, home rent and conveyance and what was actually spent on these by those at the relevant fractile class. This takes Rangarajan's final 2011-12 poverty lines from ₹933 to ₹ 972 per capita per month in rural areas and from ₹1,181 to ₹ 1,407 per capita per month in urban areas. The corresponding final Rangarajan poverty estimates are 30.9 percent rural and 26.4 percent urban which although only modestly more than Tendulkar in rural areas nearly doubles for urban poverty.

Data collection Methods -URP, MRP

The measurement of poverty depends critically on how data about people's living standards are collected. In India, poverty is generally estimated using consumption expenditure rather than income, since a large section of the population works in the informal sector where income data are unreliable. Therefore, the National Sample Survey Office (NSSO) plays a central role in gathering household consumption data through nationwide surveys.

Over the years, two main methods have been used by the NSSO for collecting this data — the Uniform Reference Period (URP) and the Mixed Reference Period (MRP). These methods differ in the time frame, or "recall period," used to record household expenditures and have a significant impact on the estimated poverty ratio.

Uniform Reference Period (URP)

The Uniform Reference Period (URP) method uses a single recall period of 30 days for all items of household consumption. Respondents are asked to recall their expenditures on food, clothing, fuel, rent, health, and other goods and services over the previous 30 days. This method was used for several decades in India, including the poverty estimates prepared by the Lakdawala Committee (1993) based on the NSSO 50th Round data.

The URP method is straightforward and easy to implement, as all items are recorded for the same 30-day reference period. However, it has an important shortcoming: while a 30-day recall works well for frequently purchased items like food or fuel, it is not accurate for infrequently purchased items like clothing, footwear, or durable goods. People may forget or underestimate their spending on such items when recalling only the last month's expenditure. As a result, the URP method tends to underestimate total consumption expenditure. Since poverty is measured by comparing actual consumption with the poverty line, this underestimation leads to a higher reported level of poverty.

Mixed Reference Period (MRP)

To address the limitations of URP, the Mixed Reference Period (MRP) method was introduced by the NSSO during the 55th Round (1999–2000). Under this approach, different recall periods are used for different types of goods:

- A 30-day recall period is used for items that households purchase or consume frequently, such as food, fuel, and rent.
- A 365-day recall period (one year) is used for items that are purchased less often, such as clothing, footwear, education, medical expenses, and durable goods.

The data from both recall periods are then combined, with the annual figures converted to a monthly equivalent before adding them to the 30-day expenditures. The MRP method was officially recommended by the Tendulkar Committee (2009) and later adopted in all official poverty estimates after 2004–05. It gives a more comprehensive and realistic estimate of living standards, as it better captures infrequent expenditures and reduces recall errors.

Comparison Between URP and MRP

The difference between the two methods has important implications for poverty measurement. Because MRP records higher total consumption, the estimated poverty ratio tends to be lower compared to URP. For instance, in the NSS 55th Round (1999–2000), the all-India poverty ratio based on URP was around 26 percent, while the MRP-based estimate was slightly lower, reflecting better data quality and more accurate reporting.

Table 6.2

Comparison Between URP and MRP

Aspect	URP	MRP
Recall period	30 days for all items	30 days for frequent items; 365 days for infrequent items
Ease of collection	Simple	More complex
Accuracy	Lower (recall error for infrequent items)	Higher (captures full expenditure)
Effect on poverty estimate	Shows higher poverty	Shows lower poverty

Introduced	Used up to 1993–94 (NSS 50th Round)	Introduced in 1999–2000 (NSS 55th Round)
Data Type	30-day consumption for all goods	Mixed 30/365-day recall
Adopted by	Lakdawala Committee	Tendulkar Committee (official after 2009)
Main Limitation	Misses infrequent expenditures; recall errors	Complex data processing, comparability issues

The shift from URP to MRP has improved the reliability of India's poverty estimates. The MRP-based data provide policymakers with a more accurate picture of household welfare, enabling better targeting of poverty alleviation programmes such as the Public Distribution System (PDS), MGNREGA, and National Food Security Act.

Accurate data collection also ensures that the poverty line reflects real consumption patterns, which change over time with economic growth, urbanization, and diversification of household expenditure beyond food.

Table 6.3

Example: How the same household's expenditure can differ under URP and MRP

Item	**Expenditure (URP, last 30 days)**	**Expenditure (MRP, annual → monthly)**
Food (frequent)	₹2,400 (30-day recall)	₹2,400 (same)
Fuel & light	₹400	₹400
Clothing (infrequent)	₹200 (if bought recently)	₹600 (average annualized)
Durable goods	₹0 (none this month)	₹300 (spread over year)
Education	₹150	₹300
Total monthly expenditure	₹3,150	₹4,000

Under URP, total = ₹3,150

Under MRP, total = ₹4,000

Thus, per capita monthly expenditure rises → fewer people below the poverty line → lower poverty ratio.

Role of Committees in India's Poverty Estimation

I. Lakdawala Committee (1993)

- Based poverty lines on calorie norms.
- Used **URP (30-day recall)** data.
- Poverty lines derived separately for rural and urban areas based on 1973–74 consumption and updated with price indices.

II. Tendulkar Committee (2009)

- Shifted from calorie-based to consumption-based poverty line.
- Recommended **using MRP** data from NSS 61st Round (2004–05).
- Aligned poverty lines with actual observed expenditure on health, education, etc.
- Adopted new poverty ratios:
    - 37.2% (URP) → 27.5% (MRP) in 2004–05.

III. Rangarajan Committee (2014)

- Also used MRP-based data (2011–12).
- Revised poverty lines upward to reflect improved standards.

Multiple Choice Questions

1. Which organization is responsible for the calculation of the poverty line in India using data collected by the National Sample Survey Office (NSSO)?
   A) Planning Commission
   B) NITI Aayog
   C) Indian Statistical Institute
   D) Ministry of Finance
   Answer: B) NITI Aayog
2. What is the primary reason for using consumption expenditure as a measure for estimating poverty rather than income levels?
   A) Income data is easier to collect than consumption data.

B) Consumption patterns are more stable compared to income.

C) It provides more accurate information about people's earnings.

D) Consumption data is unavailable for the majority of households.

Answer: B) Consumption patterns are more stable compared to income.

3. What method was introduced by the NSSO to address the limitations of the Uniform Reference Period (URP) for estimating poverty?

   A) Mixed Reference Period (MRP)

   B) Continuous Reference Period (CRP)

   C) Fixed Reference Period (FRP)

   D) Variable Reference Period (VRP)

   Answer: A) Mixed Reference Period (MRP)

4. According to the Tendulkar Committee recommendations, which approach should be used for poverty estimation?

   A) Income-based approach

   B) Consumption expenditure-based approach

   C) Market-based approach

   D) Combined income and consumption approach

   Answer: B) Consumption expenditure-based approach

5. What was a significant limitation of the URP method in estimating poverty?

   A) It requires complex data processing.

   B) It captures infrequent expenditures accurately.

   C) It uses a 365-day recall period for all items.

   D) It tends to underestimate total consumption expenditure.

   Answer: D) It tends to underestimate total consumption expenditure.

Unit 7

Multidimensional Poverty Index

Learning Outcomes After studying this module, you shall be able to

- To familiarise the term Multidimensional Poverty and its Index Calculation

Multidimensional Poverty

Because of the controversies surrounding the definition of poverty lines based on calorie or expenditure norms, and the ease with which the government can manipulate these lines to show that the levels of poverty are declining, many economists have in recent years been advocating the abandonment of the very idea of such poverty lines. For instance, N. Krishnaji has recently argued that a single poverty line based on a calorie or expenditure norm is bound to be arbitrary depending wholly on who is setting up this line. Moreover, such a line cannot consider the various dimensions of poverty. This is clear from the fact that while income does focus on an important dimension of poverty, it gives only a partial picture of the many way's human lives can be blighted.

As noted by the Human Development Report 1997. "Someone can enjoy good health and live but be illiterate and thus cut-off from learning, from communication and from interactions with others. Another person may be literate and quite well educated but prone to premature death because of epidemiological characteristics or physical disposition. Yet, a third may be processes affecting his/her life." As is clear, the deprivation of none of these people can be fully captured by the level of their income. To get a complete idea of poverty, one has thus to enlarge the canvas of study and talk in terms of deprivations and not merely income as it is in the deprivation of the lives that people can lead that poverty manifests itself. Poverty is thus a denial of choices and opportunities for living a tolerable life. This is the concept of human poverty. It means that opportunities and choices most basic to human development are denied to lead a long, healthy, creative life and to enjoy a decent standard of living, freedom, dignity, self-respect and the respect of others. excluded from participating in the important decision-making

Human Development Report 1997 introduced a human poverty index (HPI) in an attempt to bring together in a composite index, the different features of deprivation in the quality of life to arrive at an aggregate judgement on the extent of poverty in a community. The Report acknowledged that human poverty is larger than any particular measure, including the human poverty index. It includes many aspects like lack of freedom, inability to participate in decision making, lack of personal security, inability to participate in the life of a community and threats to sustainability and intergenerational equity, etc., which cannot be measured. However, given the fact that the issues of poverty in the developing countries involve hunger, illiteracy, epidemics and the lack of health services or safe water, the human poverty index constructed by the Human Development Report focused on the deprivation in the following three elements of human life longevity, knowledge, and a decent standard of living. The Human Development Report 2009 calculated HPI for 135 countries. India's rank in terms of this index was as low as 88. This clearly reflects this country's unsatisfactory performance in alleviating human poverty. In absolute terms the HPI is as high as 28.0 percent, indicating that human poverty is widespread.

Multidimensional Poverty Index

Human Development Report 2010 introduced the concept of Multidimensional Poverty Index (MPI) to replace HPI. The MPI is the product of the multidimensional poverty head-count (the share of people who are multidimensionally poor) and the average number of deprivations each multidimensionally poor household experiences (the intensity of their poverty). It has three dimensions mirroring the HDI health, education and living standards which are reflected in 10 indicators. The maximum score is 100 percent, with each dimension equally weighted (thus the maximum score in each dimension is 33.3 percent). The education and health dimension have two indicators each, so that each component is worth 5/3 (or 16.7 percent). The standard of living dimension has sty indicators, so each component is worth 5/9 (or 5,6 percent)

The two indicators for the education dimension are: (i) no household member has completed at least six years of schooling, and (ii) at least one school-age child (up to grade 8) is not attending school. The two indicators for the health dimension are: (i) at least one member is malnourished, and (ii) a child has died in the household within five years prior to the survey. The six indicators for the standard of living dimension are: (i) no electricity, (ii) no access to clean drinking water, (iii) no access to adequate sanitation, (iv) house has dirty floor, (v)

household uses ‘dirty’ cooking fuel (dung, wood or charcoal), and (vi) household has no asset related to access to information (radio, TV, telephone) and no asset related to mobility (bike, motorbike, car, truck, animal cart, motorboat) and no asset related to livelihood (refrigerator, arable land, livestock).

To identify the multidimensionally poor, the deprivation scores for each household are summed to obtain the household deprivation c. A cut-off of 33.3 percent, which is the equivalent of one-third of the weighted indicators, is used to distinguish between the poor and non-poor. If c is 33.3 percent or greater, that household (and everyone in it) is multidimensionally poor. Households with a deprivation score greater than or equal to 20 percent but less than 33.3 percent are vulnerable to or at risk of becoming multidimensionally poor. Households with a deprivation score of 50 percent or higher are severely multi-dimensionally poor.

As stated above, the MPI value is the product of two measures: the multidimensional head-count ratio and the intensity (or breadth) of poverty.

The headcount ratio, H, is the proportion of the population who are multidimensionally poor:

$$H = \frac{q}{n}$$

Where, q is the number of people who are multidimensionally poor and n is the total population. The intensity of poverty A, reflects the proportion of the weighted component indicators in which, on average, poor people are deprived. For poor households only, the deprivation scores are summed and divided by the total number of poor persons:

$$A = \frac{\sum_{i}^{q} c_i}{q}$$

Where, c_i is the deprivation score that the ith poor experiences.

The multidimensional poverty index is then given by MPI=H.A.

To illustrate how MPI is calculated, consider a hypothetical example which focuses on four households with sizes given as 4, 7, 5 and 4. Information for these households is given in Table 7.1.

Table 7.1

Calculation of Multidimensional Poverty Index (MPI)

Indicators	Household				Weights
	1	2	3	4	
Household size	4	7	5	4	
Education					5/3 or 16.7%
No one has completed six years of schooling	0	1	0	1	5/3 or 16.7%
At least one school-age child not enrolled in school	0	1	0	0	
Health					
At least one member is malnourished	0	0	1	0	5/3 or 16.7%
One or more child have died	1	1	0	1	5/3 or 16.7%
Living conditions					
No electricity	0	1	1	1	5/9 or 5.6%
No access to clean drinking water	0	0	1	0	5/9 or 5.6%
No access to adequate sanitation	0	1	1	0	5/9 or 5.6%
House has dirty floor	0	0	0	0	5/9 or 5.6%
Household uses 'dirty' cooking fuel (dung, firewood or charcoal)	1	1	1	1	5/9 or 5.6%
Household has no access to information and has no assets related to mobility or assets related to livelihood	0	1	0	1	5/9 or 5.6%
Results					
Household deprivation score, *c* (sum of each deprivation multiplied by its weight)	22.2%	72.2%	38.9%	50.0%	
Is the household poor ($c > 33.3\%$)	No	Yes	Yes	Yes	

Note: 1 indicates deprivation in the indicator, 9 indicates non-deprivation.

To illustrate how MPI is calculated, consider a hypothetical example which focuses on four households with sizes given as 4,7,5 and 4. Information for these households is given in Table 3.1.

The weighted count of deprivation of the different households is obtained as follows:

Weighted count of deprivations in household 1: $\left[1 \times \frac{5}{3}\right] + \left[1 \times \frac{5}{9}\right] = 2.22$

which is equivalent to a deprivation score of 2.22/10 = 0.222 or 22.2 percent.

Weighted count of deprivations in household 2: $\left[1 \times \frac{5}{3}\right] + \left[1 \times \frac{5}{3}\right] + \left[4 \times \frac{5}{9}\right] = 7.22$

which is equivalent to a deprivation score of 7.22/10 = 0.722, or 72.2 percent.

Weighted count of deprivations in household 3: $\left[1 \times \frac{5}{3}\right] + \left[4 \times \frac{5}{9}\right] = 3.89$

which is equivalent to a deprivation score of 3.89/10 = 0.389, or 38.9 percent.

Weighted count of deprivations in household 4: $\left[1 \times \frac{5}{3}\right] + \left[1 \times \frac{5}{3}\right] + \left[3 \times \frac{5}{9}\right] = 5.0$

which is equivalent to a deprivation score of 5.0/10 = 0.50 or 50 percent.

Since *c* > 33.3 percent for three households (households 2, 3 and 4) they are classified as poor while one household (household 1) is not poor.

Members in the poor households are 7, 5, and 4. Therefore, Head-count ratio (H)

$$= \frac{0 + 7 + 5 + 4}{4 + 7 + 5 + 4} = 0.800$$

i.e., 80 percent of people live in poor households.

Intensity of poverty (A)

$$= \frac{0.722 \times 7 + 0.389 \times 5 + 0.50 \times 4}{7 + 5 + 4} = 0.5625$$

(the average poor person is deprived in 56 percent of the weighted indicators).

$$\text{MPI} = \text{H.A} = 0.80 \times 0.5625 = 0.450$$

Human Development Report 2018 presents estimates of multidimensional poverty index. The position of India is worrisome. This is clear from the fact that 27.5 percent of India's population

(i.e., 36.4 crore people) suffers from multidimensional poverty. Moreover, 8.6 percent of India's population suffers from ‘severe poverty’.

National Multi-dimensional Poverty Index (NMPI)

In India NMPI is released by Niti Aayog. It identifies the poor and non-poor based on a dual-cut-off counting method. For that it uses the Alkire-Foster (AF) methodology, according to which an individual is considered MPI poor if his/her deprivation score equals or exceeds India’s national MPI poverty cut-off of 33.33 percent. AF methodology shows both the breadth (incidence) and depth (intensity) of poverty. The major indicators have 3 dimensions (Health, Education and Standard of Living) and 12 indicators (10 original indicators of the global MPI model and two new indicators, viz., Maternal Health and Bank Account). Progress Review 2023 shows that India has seen a steep decline in Poverty Headcount ratio from 29.17 percent in 2013-14 to 11.28 percent in 2022-2023.

Global Multidimensional Poverty Index (MPI):

It is released by Oxford Poverty and Human Development Initiative (OPHI) and the United Nations Development Programme (UNDP). It goes beyond income as the sole indicator for poverty. The index assesses interconnected deprivations related to various SDGs. The MPI focuses on 3 key dimensions – Education, Health, and Living Standard – with 10 indicators to comprehensively measure the multidimensional nature of poverty. It captures both the incidence and intensity of poverty. The MPI assesses poverty at the individual level. If someone is deprived in 3 out of 10 (weighted) indicators, the global index identifies them as ‘MPI poor’, and the extent – or intensity – of their poverty is measured by the percentage of deprivations they are experiencing. It can be used to create a comprehensive picture of people living in poverty, and permits comparisons both across countries and world regions, and within countries by ethnic group, urban/rural area, subnational region, and age group, as well as other key household and community characteristics.

India-specific findings in the 2023 Global MPI Report:

1. 415 million people moved out of poverty during 2005-2006 to 2019-2021.

2. Incidence fell from 55.1 percent (2005/2006) to 16.4 percent in 2019-2021.
3. Deprivation in all indicators declined

Few Limitations of the MPI:

• The indicators may not reflect capabilities but instead reflect outputs (such as years of schooling) or inputs (such as cooking fuel).

• Health related data that are compiled have limitations and overlook some groups' deprivations, especially for nutrition.

• Intra-household inequalities may be severe, but these seldom get reflected.

• It does not measure inequality among the poor, although decompositions by groups can be used to reveal group-based inequalities.

Multiple Choice Questions

1. What does the Human Development Report (1997) primarily argue about traditional poverty lines?

A) They are effective in measuring all aspects of poverty.

B) They can be manipulated by governments to show declining poverty levels.

C) They provide a complete understanding of human deprivation.

D) They are universally accepted by economists.

Answer: B

2. According to the Multidimensional Poverty Index (MPI), which of the following dimensions is NOT included?

A) Education

B) Health

C) Housing quality

D) Living standards

Answer: C

3. How is the Multidimensional Poverty Index (MPI) calculated?

A) By averaging the income levels of poor households.

B) By summing the deprivations across its three dimensions and dividing by total indicators.

C) By identifying the percentage of households that are impoverished based on income.

D) By considering only the health indicators of a population.

Answer: B

4. Which of the following statements about the National Multidimensional Poverty Index (NMPI) in India is TRUE?

A) It excludes the indicator of maternal health from its calculations.

B) It uses a dual-cut-off counting method based on the Alkire-Foster methodology.

C) It measures only income as a determinant of poverty.

D) It has no correlation with the global MPI model.

Answer: B

5. What significant change in poverty levels in India was reported in the Progress Review 2023?

A) An increase in the poverty headcount ratio from 29.17% to 35%.

B) A decline in the poverty headcount ratio from 29.17% in 2013-14 to 11.28% in 2022-2023.

C) A reduction in the severity of poverty without changes in incidence.

D) A stable poverty headcount ratio over the last decade.

Answer: B

Unit 8

Post-Independence Poverty Estimation

Learning Outcomes After studying this module, you shall be able to

- To know the post-independence poverty estimation
- To familiarise with different committees of poverty estimation

Post-Independence Poverty Estimation

Post-independence poverty estimation in India has evolved through various official committees, starting with a 1962 Planning Commission working group that set separate rural and urban lines. Subsequent committees, including VM Dandekar and N Rath (1971), the Alagh Committee (1979), the Lakdawala Committee (1993), the Tendulkar Committee (2009), and the C Rangarajan Committee (2012), refined methodologies based on nutritional needs, updated consumption baskets, and introduced state-specific poverty lines. More recently, multidimensional poverty indices from organizations like NITI Aayog provide a broader measure beyond income, tracking access to sanitation, education, and cooking fuel, alongside other national surveys like the Household Consumption Expenditure Survey (HCES).

In 1962, the Planning Commission constituted a working group to estimate poverty nationally, and it formulated separate poverty lines for rural and urban areas – of Rs 20 and Rs 25 per capita per year respectively. **VM Dandekar and N Rath** made the first systematic assessment of poverty in India in 1971, based on National Sample Survey (NSS) data from 1960-61. While the previous estimations had stressed on subsistence living or basic minimum needs as a criterion for the poverty line, VM Dandekar and N Rath suggested that the poverty line's criteria must be based on the expenditure that would provide 2250 calories per day both in rural and urban areas. This generated debate on minimum calorie consumption norms while estimating poverty and variations in these norms based on age and sex.

In 1979, a task force constituted by the Planning Commission for the purpose of poverty estimation, chaired by **YK Alagh** (**Alagh Committee)**, constructed a poverty line for rural and urban areas on the basis of nutritional requirements and related consumption expenditure. The nutritional requirements and related consumption expenditure based on 1973-74 price levels

recommended by the task force was 2400 calories in rural areas and 2100 calories in urban areas. Poverty estimates for subsequent years were to be calculated by adjusting the price level for inflation.

The Lakdawala committee (1993), based their findings on the assumption that the basket used to calculate Consumer Price Index-Industrial Workers (CPI-IW) and Consumer Price Index-Agricultural Labourers (CPI-AL) reflected the consumption pattern of the poor. The Lakdawala Committee submitted the report in 1993 and recommended:

- Poverty Line approach can be continued based on calorie consumption (fixed consumption basket)
- State-specific poverty lines should be constructed and these should be updated using the CPI-IW in urban areas and CPI-AL in rural areas
- Scaling of poverty estimates should not be based on National Accounts Statistics. The Expert Group recommended only NSS data should be relied upon.

The Indian Government accepted the Lakdawala Committee recommendations with minor modifications in 1997.

The **55th Round of the National Sample Survey** (b 1999-June 2000) was a quinquennial large sample survey and was thus expected to generate data useful to prepare poverty estimates comparable with those from the previous large sample surveys. The possibility of this has however been questioned due to a fundamental change in the methodology adopted by the NSSO in this Round. The Planning Commission nevertheless made use of these ta to prepare two separate estimates of the incidence of poverty. The consumer expenditure data of the 55th Round on a 30-day recall basis yields the poverty ratios for 1999-2000 of 27.09 percent in rural areas, 23.62 percent in urban areas and 26.1 percent for the country as a whole. Th corresponding figures from the 7-day recall period are 24.02 percent in rural areas, 21.59 percent in urban areas and 23.33 percent for the country as a whole. Poverty line was defined as ₹327.56 per capita per month for rural areas and ₹ 454.11 per capita per month for urban areas.

The **61st Round of the NSSO** provides estimates on poverty for the year 2004-05 on the basis of two methods (1) URP and (2) MRP. According to the 61st Round of NSSO, the poverty ratios for the country as a whole in 2004-05 were 27.5 percent on the basis of URP and 21.8 percent on the basis of MRP. Poverty ratio for rural India is considerably higher than the

poverty ratio for urban areas on the basis of URP while it is almost the same on the basis of MRP.

On March 19, 2012, the Planning Commission released the estimates of poverty for the year 2009-10 computed from the **66th Round NSS** (2009-10) data on Household Consumer Expenditure Survey. The poverty line was defined as 22.40 per capita per day in rural areas and 28.60 per capita per day in urban areas (this translates to 672.80 per capita per month in rural areas and 859.60 per capita per month in urban areas). On this basis, 29.8 percent of the population was below the poverty line in 2009-10 (33.8 percent in rural areas and 20.9 percent in urban areas). This shows a 7.4 percentage point fall in all-India poverty ratio over the five-year period 2004-05 to 2009-10 (8 percentage point fall in rural poverty and 4.8 percentage point fall in urban poverty). Himanshu has shown that if government expenditure on free meals (under mid-day meal programme) is excluded to make the poverty estimates comparable with those of the 2004-05 estimates, the 2009-10 poverty ratio increases from 29.8 percent (33.8 per cent rural and 20.9 percent urban) as posted by the Planning Commission to 31.5 per cent (35.2 percent rural and 21.5 percent urban). This means that the total number of poor in the country in 2009-10 was 373 million -18 million more than the reported estimate of 355 million for the country as a whole.

On July 22, 2013, the Planning Commission released the estimates of poverty for the year 2011-12 computed from the **68th Round of NSSO** (2011-12) data on Household Consumer Expenditure Survey. The poverty line has been defined at 27.20 per capita per day for rural areas and 33.33 per capita per day for urban areas (this translates to 816 per capita per month in rural areas and ₹1,000 per capita per month) in urban areas. On this basis, 21.3 percent of the population was below the poverty line is 2011-12 (25.7 percent in rural areas and 13.7 percent in urban areas). In absolute terms, 269.8 million people were below the poverty line in 2011-12. In absolute terms, 363 million people were below the poverty line in 2011-12. This shows that the number of people below the poverty line in 2011-12 was about 93 million more according to Rangarajan Committee as compared with the Planning Commission's estimate of 269.8 million.

World Bank earlier used to define poverty line at $1.25 per capita per day (at 2005 prices on purchasing power parity basis). Presently, it defines poverty line at $ 1.90 per capita per day (at 2011 prices on purchasing power parity basis). According to this definition, 31.1 percent of the population in 2009 and 21.2 percent of the population in 2011 was below the poverty line.

Poverty Estimates of Tendulkar Committee

In view of the confusion generated by various claims and counter-claims regarding the incidence of poverty in India and on whether poverty has been declining or not, the Planning Commission constituted an Expert Group under the chairmanship of Suresh Tendulkar to examine the issue in entirety and suggest a new poverty line and estimates. Tendulkar Committee submitted its report in December 2009. The Committee pointed out three major criticisms of the existing official poverty lines: **One,** the consumption patterns underlying the rural and urban poverty line baskets (PLBs) remained tied down to those observed more than three decades ago in 1973-74 and hence had become outdated. Thus, they have failed to consider the changes in the consumption pattern of the poor over time. **Two,** crude price adjustment for prices was leading to implausible results such as proportion of total urban population below poverty line being higher than its rural counterpart in certain major States. **Three,** the earlier poverty lines assumed that the basic social services of health and education would be supplied by the State and hence, although private expenditure in education and health was covered in the base year 1973-74, no account was taken of either the increase in the proportion of these in total expenditure over time or of their proper representation in available indices.

Tendulkar Committee suggested a new methodology for estimating poverty lines. The main recommendations of the Committee were as follows:

1. Need to move away from anchoring the poverty line to a calorie-based norm. Thus, the quantum of various goods and services deemed to constitute the desirable national minimum standard of living would not be determined normatively but on the basis of observed patterns of consumption reported by a reference group of 'poor' urban households.

2. Poverty estimates to continue to be based on private collected by the NSSO (National Sample Survey household consumer expenditure of Indian households Organisation).

3. Recognising the sensitivity of household responses on consumption expenditure to the reference period for which information is sought, the Committee suggested using estimates based on different reference periods for different commodity groups, rather than the earlier practice of a uniform 30-day reference period for all. Thus, instead of using URP (uniform recall period), the Committee opted for the use of MRP (mixed recall period) practice. This change is expected to capture the household consumption expenditure of poor households on low-frequency items of purchase more satisfactorily.

4. Broadening of the scope of the minimum standard of living by giving greater attention to its non-food components. In fact, the proposed poverty line basket (PLB) considers all items of consumption (except transport and conveyance) for construction of price indices. Separate allowance for private expenditure on transport and conveyance has been made in the recommended poverty lines.

5. Including private expenditure on education and health in determination of poverty line. The earlier practice was to omit this expenditure as providing basic health care and education for all children was deemed to be the responsibility of the State.

6. The new poverty lines seek to enable the rural as well as urban population in all States to afford the recommended all-India urban PLB after taking due account of within State rural-urban and inter-State differentials (rural and urban) incorporating observed consumer behaviour both at the all-India and State levels.

The Tendulkar Committee estimated the new all-India poverty line for the year 2004-05 for rural areas at 446.68 per capita per month and for urban areas at 578.80 per capita per month. On this basis, 41.8 percent of the rural population and 25.7 percent of the urban population was below the poverty line in 2004-05. For the country as a whole, 37.2 percent of the people were below the poverty line in 2004-05.

The number of rural people below the poverty line according to Tendulkar Committee is much more than the number estimated in the 61st round of NSSO. The 61st round had estimated the number of people below the poverty line in rural areas at 28.3 percent in 2004-05 following the URP method and merely 21.8 percent following the MRP method. As against this, Tendulkar Committee estimates the number of rural people below the poverty line at 41.8 percent in 2004-05. As a result, the all-India incidence of poverty according to the Tendulkar Committee is also much more than that estimated in the 61st round.

In the light of the new methodology, the Tendulkar Committee recommended re-estimation of poverty for previous years. An exercise was carried out by the Committee for 1993-94 to facilitate a broad two-point comparison of changes in headcount ratios. By this exercise, poverty at all-India level in 1993-94 was found to be 50.1 percent in rural areas, 31.8 percent in urban areas, and 45.3 percent in the country as a whole.

While the incidence of rural poverty estimated by the Tendulkar Committee as compared with the official estimates was much more both in 1993-94 and 2004-05, the extent of poverty

reduction is found to be almost similar. For instance, while rural poverty declined from 37.3 percent in 1993-94 to 28.3 percent in 2004-05 according to the old methodology, it declined from 50.1 percent in 1993-94 to 41.8 percent according to the Tendulkar Committee.

C Rangarajan Committee (2012)

The Rangarajan Committee was an expert group constituted by the Indian Planning Commission in 2012. The Committee was formed following widespread criticism of the Tendulkar Committee's methodology, which was deemed insufficient for reflecting the actual level of poverty in the country. Critics argued that the Tendulkar methodology used an unrealistically low expenditure-based poverty line. Chaired by former Reserve Bank of India Governor Dr. C. Rangarajan, the committee submitted its report in 2014, which presented higher poverty lines and a significantly larger estimate of the poor population compared to the previous Tendulkar Committee.

The Expert Group under the Chairmanship of Dr. C. Rangarajan to Review the Methodology for Measurement of Poverty in the country constituted by the Planning Commission in June 2012 has submitted its report on 30th June 2014. The highlights of the report are:

a) The Tendulkar Committee had used the all-India urban poverty line basket as the reference to derive state-level rural and urban poverty. This was a departure from the earlier practice of using two separate poverty line baskets for rural and urban areas. So, the Rangarajan Committee reverts to the practice of having separate all-India rural and urban poverty basket lines and deriving state-level rural and urban estimates from these.
b) The Tendulkar Committee had decided not to anchor the poverty line to the then available official calorie norms used in all poverty estimations since 1979 as it found a poor correlation between food consumed and nutrition outcomes. However , on a review of subsequent research, the Rangarajan Committee took a considered view that deriving the food component of the Poverty Line Basket by reference to the simultaneous satisfaction of all three nutrient -norms would be appropriate when seen in conjunction with the emphasis on a full range of policies and programmes for child-nutrition support and on public provisioning of a range of public goods and services aimed at the amelioration of the disease-environment facing the population.

c) Estimates of consumption expenditure seen in the National Accounts Statistics and as inferred from the sample surveys of the National Sample Survey Organisation show a large and growing variance. The Committee prefers NSSO's estimates and decides not to use the NAS estimates. This is in line with the approach taken by Lakdawala Committee and Tendulkar Committee.

d) The capture of spatial and temporal variation in prices in estimating the State-level and rural-urban poverty levels (given all-India rural and urban estimates) has undergone substantial refinement since 1979. The Rangarajan Committee agrees with the methodology adopted by the Tendulkar Committee in this regard. This overcomes the limitations of using fixed base-year weights by using a combination of unit values derived from successive NSSO's Consumer Expenditure Surveys and price-relatives derived from the Consumer Price Indices.

e) Public expenditure on social services has increased substantially in recent years. These expenses are not captured, by design, in the NSSO's Consumer Expenditure Surveys and the poverty line derived from these is thus lower than the services actually consumed.

f) The Rangarajan Committee is of the considered view that the deployment of criteria other than consumption expenditure in the measurement of poverty raises several issues regarding measurement and aggregation and that these render such exercises impractical. However, the Committee has considered an alternate view in estimating the poverty line by reference to the ability of households to save.

The Methodology recommended by the Rangarajan Committee for estimation of poverty is as follows:

i. The poverty line should be based on certain normative levels of adequate nourishment, clothing, house rent, conveyance and education, and a behaviourally determined level of other non-food expenses.

ii. The Rangarajan Committee computed the average requirements of calories, proteins and fats based on ICMR norms differentiated by age, gender and activity for all-India rural and urban regions to derive the normative levels of nourishment. Accordingly, the energy requirement works out to 2,155 kcal per person per day in rural areas and 2,090 kcal per person per day in urban areas. For reasons elaborated in the text, the Rangarajan Committee views the Calorie norm not as a single number but as an average in a band of +/-

10 percent of these values and with intakes even at the lower end still being adequate enough to not adversely affect health and work.

iii. The protein and fat requirements have been estimated on the same lines as for energy. These requirements are 48 gms and 28 gms per capita per day, respectively, in rural areas; and 50 gms and 26 gms per capita per day in urban areas.

iv. A food basket that simultaneously meets all the normative requirements of the three nutrients defines the food component of the poverty line basket proposed by the Rangarajan Committee. These nutrient norms are met for persons located in the sixth fractile (25-30 percentage) in rural areas and for those in the fourth fractile (15-20 percentage) in urban areas in 2011-12. The average monthly per capita consumption expenditure on food in these fractile classes is ₹554 in rural areas and ₹656 in urban areas (NSS 68th Round).

v. The median fractile (45-50 percentage) values of clothing expenses, rent, conveyance and education expenses are treated as the normative requirements of the basic non-food expenses of clothing, housing, mobility and education of a poverty line basket. This works out to ₹141 per capita per month in rural areas and ₹407 in urban areas. The observed expenses of all other non-food expenses of the fractile classes that meet the nutrition requirements are considered as part of the poverty line basket. This works out to ₹277 per capita per month in rural areas and ₹344 in urban areas.

vi. The new poverty line thus work out to monthly per capita consumption expenditure of ₹972 in rural areas and ₹1,407 in urban areas in 2011-12. For a family of five, this translates into a monthly consumption expenditure of ₹4,860 in rural areas and ₹7,035 in urban areas.

vii. Estimations of the poverty line made for the Rangarajan Committee based on an independent large survey of households by CMIE and using a different methodology wherein a household is considered poor if it is unable to save, yields results that are remarkably close to those derived using the NSSO data. This provides additional evidence in support of the poverty line derived by the Committee.

viii. Compared to the poverty lines based on the methodology of the Tendulkar Committee, the poverty lines estimated by the Rangarajan Committee are 19 percent and 41 percent higher in rural and urban areas, respectively. The Rangarajan Committee uses the Modified Mixed Recall Period consumption expenditure data of the NSSO as these are considered to be more precise compared to the MRP, which was used by the Tendulkar Committee and the URP, which was used by earlier estimations. 67 percent of the increase in the rural poverty line and 28 percent of the increase in the urban poverty line is because of the shift from MRP to MMRP.

ix. The national rural and urban poverty lines computed as above were used to derive the state-wise poverty lines by using the implicit price derived from the quantity and value of consumption observed in the NSSO's 68th Round of Consumer Expenditure Survey (2011-12) to estimate state relative to all-India Fisher price indices. Using these and the state-specific distribution of persons by expenditure groups (NSS), state-specific ratios of rural and urban poverty were estimated. State-level poverty ratio was estimated as weighted average of the rural and urban poverty ratios and the national poverty ratio was computed again as the population-weighted average of state-wise poverty ratios.

x. The Rangarajan Committee therefore estimates that the 30.9 percent of the rural population and 26.4 percent of the urban population was below the poverty line in 2011-12. The all-India ratio was 29.5 percent. In rural India, 260.5 million individuals were below poverty and in urban India 102.5 million were under poverty. Totally, 363 million were below poverty in 2011-12.

xi. The poverty ratio has declined from 39.6 percent in 2009-10 to 30.9 percent in 2011-12 in rural India and from 35.1percent to 26.4 percent in urban India. The decline was thus a uniform 8.7 percent points over the two years. The all-India poverty ratio fell from 38.2 percent to 29.5 percent. Totally, 91.6 million individuals were lifted out of poverty during this period.

xii. The Rangarajan Committee recommends the updation of the poverty line in the future using the Fisher Index. The weighting diagram for this effort can be drawn from the NSSO's Consumer Expenditure Survey. For the Food –group, the Rangarajan Committee recommends that the current practice of relying on the unit values derivable from the NSSO Consumer Expenditure Surveys should continue till such time a new CPI of CSO with a weighting diagram based on the 2011-12 pattern of consumption becomes available. In respect of non-food- items, the price indices available in the exiting CSO Consumer Price Indices can be used in the construction of requisite Fisher indices. Once the new series of Consumer Price Index numbers (with 2011-12 as the base year) become available, it may be used if the extent of change in the structure of consumption at that point in time relative to the 2011-12 structure of consumption is not very different.

In a nut shell the Rangarajan Committee's Poverty line and estimates:

a) Monthly per capita expenditure:

The committee recommended a monthly per capita consumption expenditure of ₹ 972 for rural areas and ₹ 1,407 for urban areas as the poverty line.

b) Daily expenditure:

This translates to a poverty line of ₹ 32 per day for people in rural areas and ₹ 47 per day for people in urban areas.

c) Poverty ratio:

Based on this methodology, the committee estimated that 29.5 percent of the population was living below the poverty line in 2011-12, compared to 21.9 percent according to the Tendulkar Committee.

d) Poverty line threshold for 2011-2012:

- Rural: Monthly per capita expenditure of ₹972 (approximately ₹32 per day).
- Urban: Monthly per capita expenditure of ₹1,407 (approximately ₹47 per day).

e) Poverty estimates for 2011-2012:

- Total poor population: 29.5 percent of the population.
- Rural: 30.9 percent of the rural population.
- Urban: 26.4 percent of the urban population.

Multiple-Choice Questions

1. What was the main contribution of the VM Dandekar and N Rath Committee in 1971 to the poverty estimation in India?

   A) Established state-specific poverty lines

   B) Suggested a poverty line based on 2250 calories per day

   C) Introduced the concept of multidimensional poverty indices

   D) Created the first rural poverty line of Rs 20 per capita per year

   Correct Answer: B

2. Which committee recommended an increase in the poverty line based on nutritional requirements to 2400 calories in rural areas and 2100 calories in urban areas?

   A) Lakdawala Committee

   B) Tendulkar Committee

   C) Alagh Committee

D) Rangarajan Committee

Correct Answer: C

3. In the 1993 Lakdawala Committee report, what was the basis for constructing state-specific poverty lines?

   A) National Accounts Statistics

   B) Consumer Price Index for Industrial Workers (CPI-IW)

   C) Nutritional requirements based on 1973-74 price levels

   D) Household Consumption Expenditure Survey (HCES)

   Correct Answer: B

4. According to the Rangarajan Committee, what percentage of the rural and urban populations were estimated to be below the poverty line in 2011-12?

   A) 29.5 per cent rural and 21.8 percent urban

   B) 30.9 percent rural and 26.4 percent urban

   C) 35.1percent rural and 23.6percent urban

   D) 27.5 percent rural and 23.62 percent urban

   Correct Answer: B

5. What methodology did the Rangarajan Committee use to provide a more precise estimate of the poverty line compared to earlier committees?

   A) Modified Mixed Recall Period consumption expenditure data

   B) 7-day recall period data

   C) Only National Sample Survey (NSS) data

   D) A fixed consumption basket based on calorie intake

   Correct Answer: A

Unit 9

Trends of Poverty

Learning Outcomes After studying this module, you shall be able to

- To know the trends of poverty in India

Trends of Poverty

Poverty in India is a complex and multifaceted issue influenced by a combination of historical, economic, social, and political factors. Several renowned economists and leaders have provided insights into the root causes of the high poverty rate in India. Amartya Sen, the Nobel laureate economist, has highlighted the importance of addressing social inequalities and investing in education and healthcare to combat poverty in India and sustain economic development. The authorized measure adopted by Indian government, before 2005, was based on food security and it was defined as per capita expenditure for a person to consume enough calories and be able to pay for associated essentials to survive.

Since 2005, Indian government adopted the "Tendulkar" methodology which was a move away from the traditional calorie measure to a measure of basket of goods and used rural, urban and regional minimum expenditure per capita necessary to survive. Since 1990, the World Bank regularly revises its definitions and benchmarks to measure poverty. The definition in use from 2005 to 2013 is revised to $1.25 per day income on purchasing power parity (PPP) basis. Semi-economic and non-economic indices have also been suggested to measure poverty in India; like, the Multi-dimensional Poverty Index which places 33 percentage weight on number of years spent in school and education and 6.25 percentage weight on financial condition of a person, in order to determine if that person is under poverty line.

The diverse definitions and distinctive small sample surveys used to determine poverty in India, have brought about a broad estimate of poverty from 1950s to 2010s. The Indian government's estimate of 2012 placed 21.9 percent of its population below the official poverty limit. However, according to the 2011 estimates of World Bank, about 23.6 percent of Indian population, or about 276 million people, lived below $1.25 per day on calculations based on 2005's PPP International Comparison Program. Moreover, with respect to United Nation's

Millennium Development Goal (UNMGD) programme 270 million or 21.9 percent of Indians lived below poverty line of $1.25 in 2011-2012.

Poverty has been there from ages in India. Under the British colonial rule, from late 19th century through early 20th century, poverty deepened and peaked in the 1920s. Famines and diseases killed millions of people. After India's independence in 1947, though, mass deaths from famines were prevented, but poverty increased manifold, peaking in the 1960s. With rapid economic growth since 1991, there has been a sharp decline in extreme poverty in India. But, the population living above poverty line also live a fragile economic life. Moreover, lives of hundreds of millions are affected because of lack of basic essentials of life such as safe drinking water, sanitation, housing, health infrastructure etc. According to the revised methodology of the World Bank based on PPP, estimated that the world had 872.3 million people below the new poverty line, of which 179.6 million people lived in India. In other words, India which accounts for 17.5 percent of total world's population had 20.6 percent of worlds' poorest in 2011.

India revised its historical method of poverty calculation which was based on sustenance food standard with "Tendulkar" methodology having the official poverty rates based on its Planning Commission's data which defined poverty not in terms of annual income, but in terms of consumption or spending per individual over a certain period for a basket of essential goods. Further, this methodology has set different poverty lines for rural and urban areas. Since 2007, India has set its official poverty line at ₹ 26 a day ($0.43) for rural areas and about ₹ 32 per day ($0.53) for urban areas. These numbers are lower than the World Bank's income-based definition poverty line of $1.25 per day, but the definition is similar to China's US$ 0.65 per day official poverty line.

The World Bank's international poverty line definition which is based on purchasing power parity basis is inspired by the reality that the price of same goods, and services such as a haircut, are quite different in local currencies around the world. This accounts for a realistic definition and comparison of poverty must consider these differences in costs of living. On this basis, currency fluctuations and nominal numbers become less important. The definition is based on the local costs of a basket of essential goods and services that people can purchase. By World Bank's 2014 PPP definition, India's poverty rate is significantly lower than previously believed.

According to the United Nations report, about 30 crore people still live in extreme poverty in India even as the Millennium Development Goal (MGD) programme will expire in December.

Despite India’s meteoric GDP growth rate (about 9 percent), poverty in India is still pervasive, especially in rural areas where 70 percent of India’s 1.2 billion populations live. India adopted the United Nation's MGD in 2000 with an aim to free millions of its population from extreme poverty, hunger, illiteracy and poor health.

Although India is one of the fastest growing economies of the world, yet its incomes are hardly redistributed across the population. It spends only 1percent of its GDP on health, which is half that of China, who is already planning on increasing its spending on GDP to a substantial amount (3 to 4 percent). Russia and Brazil spend around 3.5 percent of their respective GDPs on health.

Current Poverty Rate in India

The 2023 Multidimensional Poverty Index Report finds over a third of all poor people in the world live in South Asia—which is around 389 million people. India contributes significantly to this number, accounting for almost 70 percent of the increase in extreme poverty. The World Bank defines poverty using the International Poverty Line, which designates extreme poverty at $2.15 per person per day, while $3.65 falls under the lower-middle income category, and $6.85 is classified as upper-middle income. Considering the poverty line set at $3.65, India’s contribution constitutes 40 percent of the slight upward adjustment in the global poverty rate, moving from 23.6 percent to 24.1 percent.

Expenditure surveys of 2022-23 and 2023-24

Estimates of poverty in India have traditionally relied on data from household consumption expenditure surveys (HCES), particularly thick sample or detailed surveys. The National Sample Survey Organisation (NSSO) conducts periodic HCES to capture detailed information on consumption patterns across rural and urban India. These surveys provide state-wise and fractile-wise data on per capita monthly consumption expenditure, enabling analysis of income inequality, spatial variation, poverty alleviation and rural–urban differences in the Indian economy. The 2011-12 NSSO household consumption survey was a ‘thick’ or detailed survey for household consumption expenditures in India. After a gap of few years, NSSO again conducted detailed consumption expenditure surveys for 2022-23 and 2023-24. These surveys marked a methodological shift, adopting a multi-visit canvassing approach where each of the 2.62 lakh sampled households were visited three times to account for seasonal variations and reduce recall bias. Together, these rounds provide a consistent and evolving picture of India’s

consumption dynamics, with recent data expected to inform revisions in the Consumer Price Index (CPI) base year and analyses of post-pandemic consumption trends.

Highlights of RBI's study on estimating state-wise poverty headcount ratio for FY23

A recent RBI study undertaken by Das, Gopalakrishnan and Mazumder has provided state-wise poverty estimates in India after revising the poverty lines using the Rangarajan methodology (2014) for FY23. In this study, a very sharp decline in poverty levels in India has been noted between FY12 and FY23 for many states. The highest percentage reductions in the headcount ratio are for Himachal Pradesh, Karnataka and Punjab for rural areas and Tamil Nadu, Karnataka and Andhra Pradesh for urban areas. Some of the large population states such as Uttar Pradesh, Madhya Pradesh and Bihar also did quite well in terms of lowering the poverty headcount ratio. Since these states carry a relatively larger weight in total population, this explains the dramatic decline in the weighted average poverty headcount ratios for 19 states during this period. This ratio fell from 31.1percent to 6.7 percent for rural areas and 26.9 percent to 6.8 percent for urban areas.

Multiple Choice Questions

1. Which methodology was adopted by the Indian government in 2005 to measure poverty?

   A) The calorie-based approach

   B) The Multidimensional Poverty Index

   C) The Tendulkar methodology

   D) The World Bank's $1.25 per day measure

   Answer: C) The Tendulkar methodology

2. According to the 2011 estimates of the World Bank, what percentage of the Indian population lived below the poverty line of $1.25 per day?

   A) 21.9%

   B) 23.6%

   C) 27.5%

D) 30.0%

Answer: B) 23.6%

3. What percentage of India's GDP is spent on health, which is significantly lower than that of China?

   A) 1%

   B) 2%

   C) 3%

   D) 4%

   Answer: A) 1%

4. What is the current definition of extreme poverty according to the World Bank's International Poverty Line?

   A) $1.25 per person per day

   B) $2.15 per person per day

   C) $3.65 per person per day

   D) $6.85 per person per day

   Answer: B) $2.15 per person per day

5. Which of the following states showed the highest percentage reduction in the rural poverty headcount ratio between FY12 and FY23 according to the RBI study?

   A) Uttar Pradesh

   B) Himachal Pradesh

   C) Bihar

   D) Maharashtra

   Answer: B) Himachal Pradesh

Unit 10

Poverty Alleviation Programmes

Learning Outcomes After studying this module, you shall be able to

- To familiarise with different poverty alleviation programmes introduced in India

Poverty Alleviation Programmes

The government of India has made concerted efforts to reduce the extent of poverty. In this initiative, we observe certain policy shifts over time.

The Earlier Phase Ad hocist Approach

The strategy of direct assault on poverty through rural development and rural employment programmes was first adopted in the 1970s. With the Fifth Plan, poverty alleviation came to be accepted as one of the principal objectives of economic planning in this country. During the 1970s, a number of special programmes for the rural poor were undertaken of which the important ones were: Small Farmers" Development Agency (SFDA), Marginal Farmers' and Agricultural Labourers' Development Agency (MFAL Drought-Prone Areas Programme (DPAP), Crash Scheme for Rural Employment (CSRE), Pilot Intensive Rural Employment Project (PIREP) and Food for Work Programme (FWP). None of these programmes comprehensively covered the whole country, though in certain parts of the country some of these programmes operated simultaneously for the same target groups. Apart from this territorial overlap, the major limitation of these programmes was that they were reduced to mere subsidy-giving programmes, lacking any planned approach to enable the rural poor achieve a higher level of income. The element of ad hocism in these programmes further reduced their effectiveness from the point of view of poverty alleviation. Hence, the need was felt for undertaking programmes which were not only fr more comprehensive in coverage but could also make a direct assault on rural poverty.

The Latter Phase -Comprehensive Programmes

The Integrated Rural Development Programme (IRDP), the National Rural Employment Programme (NREP) and the Rural Landless Employment Guarantee Programme (RLEGP) were conceived keeping the objective of poverty alleviation in view. The IRDP was initially started in 1978-79 in 2,300 development blocks as a programme of total development. In the Sixth Plan, the IRDP was extended to the entire country. The NREP also commenced at the same time as part of the Sixth Plan and aimed at helping that segment of population which depended largely on wage employment and had virtually no source of income during the lean agricultural period. The RLEGP was launched on August 15, 1983 with the objective of expanding the employment opportunities for the rural landless. However, with a view to making the implementation of these wage employment programmes more effective, NREP and RLEGP were merged into a single rural employment programme since April 1, 1989. The merged programme was named Jawahar Rozgar Yojana (JRY).

The IRDP conceived as anti-poverty programme aimed at helping the small and marginal farmers, landless labourers and artisans. It was thought by the planners that these people were poor because they possessed neither any productive assets nor any special skills. Therefore, the IRDP was designed to help the poor by creating new assets for them. These assets would include sources of irrigation bullocks and implements besides inputs like seeds and fertilisers for farming, animals for dairy and other animal husbandry activities and tools and training for cottage employment of the poor with the help of these assets so that industries and handicrafts. The basic strategy was self they manage to earn enough to rise above the poverty line. The skill endorsement aspect was covered under the Training of Youth for Self-Employment (TRYSEM). The Programme Evaluation Organisation of the Planning Commission (PEO), the RBI, the NABARD and the Institute for Financial Management evaluated the performance of the IRDP at different points of time. The general conclusion that emerges from these studies is that the IRDP was not very effective as a poverty alleviation measure. However, it has now been restructured and renamed as Swarnajayanti Gram Swarozgar Yojana (SGSY). Moreover, certain allied programmes including TRYSEM have been merged into it. Employment Assurance Scheme (EAS) until it was merged into Sampoorna Grameen Rozgar Yojana (SGRY) in September 2001 provided 100 days of unskilled manual work to the rural poor seeking employment.

These poverty alleviation programmes suffered from various specific shortcomings which in Sandeep Bagchee's opinion were basically the result of "not taking into account the complexities of the environment, of having multiple and conflicting objectives instead of simplifying them by focusing on a single operational goal and designing a suitable and viable strategy on this basis."

At present, special programmes for employment generation are being implemented both in rural and urban areas. All these programmes aim at poverty alleviation as well. The programmes for the rural poor include Swarnajayanti Gram Swarozgar Yojana (SGSY) and Sampoorna Grameen Rozgar Yojana (SGRY), The Nehru Rozgar Yojana (NRY) was launched in October 1989 for the benefit of the urban poor. It was merged into the Swarnajayanti Shahari Rozgar Yojana in 1997-98. Sampoorna Grameen Rozgar Yojana (SGRY) was launched in September 2001. Jawahar Gram Samridhi Yojana (JGSY) and Employment Assurance Scheme (EAS) were merged into it. SGRY aims at providing wage employment in rural areas as also food security. Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) was introduced in February 2006. The Scheme aims to provide at least 100 days of guaranteed employment in a financial year to every household in the rural areas covered under the scheme and whose adult members volunteer to do unskilled manual work subject to the conditions laid down in the Act.

Strategy of Poverty Alleviation

A careful examination of the poverty alleviation programmes reveals that the planners have made the assumptions that the poor constitute a homogeneous category. The planners made no attempt to segment the group in terms of common characteristics and their requirements. According to Indira Hirway, a distinction has to be made between the two categories of poor, namely, those who have some skill and thus can take up self-employment and others who are to be provided with wage-employment. In her opinion each category should be treated separately by appropriate policy measures. Nilakanatha Rath criticised the transfer of assets approach of the IRDP as largely misconceived. He favours a programme of creating wage employment on a massive scale.

Hirway and Dantwala disagreeing with Rath strongly advocate that, in a programme for poverty alleviation, the role of self-employment should not be undermined. Self-employment is a major form of employment in the rural areas and this fact must not be ignored in the strategy

of poverty alleviation. Further, dependence on wage employment alone to tackle the problem of poverty will lead to total dependence of the poor on employers. It is also likely to accentuate the gap between the rich and the poor by strengthening the asset base of the former. Therefore, the correct approach would be to incorporate both self-employment and wage-employment programmes in any poverty alleviation strategy.

At present there seems to be little integration in transfer of assets and skills approach and employment approach. It is suggested that in future there has to be greater coordination between these two elements of poverty alleviation programme. The actual mix between the two will, however, depend on the circumstances prevailing in the particular region for which the micro level plan is prepared. A major limitation of the existing poverty alleviation strategy is that it has no programmes for those households who neither have assets nor skills and, in addition, do not have any able-bodied adult member and thus cannot benefit from wage-employment programmes. For such a category, separate policy measures would be required. Obviously these destitutes are to be covered under social security schemes.

Under the Seventh Plan, the basic emphasis was on productive employment rather than the alleviation of poverty. The programmes for poverty alleviation were viewed as supplementing the basic plan for overall growth. Therefore, in the Seventh Plan poverty alleviation was not in focus. The planners claimed that the Seventh Plan policies were formulated after a careful analysis of lessons from performance of various poverty alleviation programmes. The Seventh Plan aimed at reducing the percentage of the population below the poverty line from 39.9 percent at the beginning of the Plan period to 28.2 percent by 1990. However, as explained earlier in this chapter, there was only a modest decline in the incidence of poverty during the 1980s and early 1990s. This casts serious doubts on the correctness of the poverty alleviation strategy of that period.

Elimination of poverty was one of the major objectives of the Eighth Plan. The planners had hoped to realise this objective by pursuing employment-oriented growth strategy. Hence, expansion of employment opportunities and augmentation of productivity and income levels of both the underemployed and unemployed poor were made the principal instruments for achieving this goal during the Eighth Plan. However, this strategy can show the required results only in the medium- and long-term. Therefore, under the Eighth Plan short-term employment was provided to the unemployed and underemployed poor through the special employment programmes. The Ninth Plan relied essentially on the trickle-down effects of economic growth

for poverty alleviation. It nevertheless recognised the role of anti-poverty programmes and thus stated, “there is no cause to bring into question the utility or size of the anti-poverty programmes at the present time. “

The Tenth Five Year Plan sought to achieve a faster reduction in poverty rate by redressal of regional imbalances for which aggregate growth target was broken down State-wise. Thus, the Tenth Plan also like the Ninth Plan relied on the trickle-down effect of economic growth for poverty alleviation. The Eleventh Five Year Plan also emphasised rapid growth of the economy to achieve reduction in poverty. However, it emphasised that this growth must be better balanced to rapidly create jobs in the industrial and services sectors. According to the Plan, “This is necessary if a significant portion of the labour force is to shift out of agriculture where it is currently engaged in low productivity employment, into a non-agricultural activity that can provide higher real incomes per head.” Along with this, it will be necessary to improve the income earning opportunities of those people who remain in agriculture by raising land productivity. The Plan also emphasised the need to supplement the above programmes by targeted livelihood support programmes.

The Twelfth Five Year Plan emphasises ‘faster, sustainable and more inclusive growth’. According to the planners, “while the objective of development is broad-based improvement in the economic and social conditions of our people, rapid growth of GDP is an essential requirement for achieving this objective.” Two reasons are cited in support of this contention. First, rapid growth of GDP produces a larger expansion in total income and production which, if the growth process is sufficiently inclusive, will directly. raise living standards of a large section of the population by providing larger employment opportunities and other income enhancing activities. Second, rapid growth generates higher revenues which help to finance critical programmes of poverty alleviation and inclusiveness like Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), Sarva Shiksha Abhiyan (SSA), Mid-Day Meals (MDMs), Integrate Child Development Services (ICDS), National Rural Heals Mission (NRHM) etc. To ensure that growth is sufficiently inclusive, the Twelfth Plan emphasises: (1) faster growth in agriculture (especially in rainfed areas where most of the poor live); and (if) faster growth in the manufacturing sector as a whole, including medium, small and micro enterprises sector (which will generate a much broader spread of employment and income earning opportunities). As far as the target for poverty reduction is concerned, the Twelfth Plan aims at reducing the head-count ratio of consumption poverty by 10 percent points over the

Plan period. It also aims at generating 50 million new work opportunities in the non-farm sector and provide skill certification to equivalent numbers over the Plan period.

Measures to Reduce Poverty:

Apart from the above-mentioned direct measures to attack poverty some indirect measures were also succeeding:

1. Accelerate the growth rate of GDP- develop agriculture, promote village and small industries to create employment opportunities.

2. Growth should be employment oriented.

3. Inclusive growth process – emphasis on rural areas, marginal sections of society,

4. Reducing inequalities in income and asset ownership

5. Reduce the growth rate of population

6. Impart vocational training along with education

7. Design proper monetary policy to control price rise.

8. Poverty alleviation programmes should be accompanied by asset creation, self-employment initiatives.

9. Programmes to ensure accessibility to minimum standards of education, health, roads, drinking water.

Multiple Choice Questions

1. Which of the following programmes was initiated in the 1970s as a direct approach to combat poverty in rural areas of India?

   A) Integrated Rural Development Programme (IRDP)

   B) National Rural Employment Programme (NREP)

   C) Crash Scheme for Rural Employment (CSRE)

   D) Swarnajayanti Gram Swarozgar Yojana (SGSY)

   Correct Answer: C) Crash Scheme for Rural Employment (CSRE)

2. The Integrated Rural Development Programme (IRDP) was initially launched in which year?

   A) 1983

   B) 1978-79

   C) 1970

   D) 1991

   Correct Answer: B) 1978-79

3. What was the primary objective of the Rural Landless Employment Guarantee Programme (RLEGP) when it was launched?

   A) To provide subsidies to large landowners

   B) To expand employment opportunities for rural landless individuals

   C) To improve agricultural productivity through technology

   D) To create urban job opportunities

   Correct Answer: B) To expand employment opportunities for rural landless individuals

4. Which of the following statements best describes the outcome of the IRDP according to evaluations?

   A) It effectively reduced poverty across all demographics in India.

   B) It was restructured and renamed due to its lack of effectiveness.

   C) It was primarily focused on urban poverty alleviation.

   D) It has been merged with multiple other successful programmes.

   Correct Answer: B) It was restructured and renamed due to its lack of effectiveness.

Unit 11
Economic Characteristics of High- Poverty Groups

Learning Outcomes After studying this module, you shall be able to

- To familiarise with economic characteristics of poverty groups in India

Economic characteristics of high-poverty groups

High-poverty groups are characterized by lack of gainful employment, low education and skills, and job instability, often due to factors like poor access to education and financial capital, and systemic issues like discrimination. They also face challenges such as inadequate access to basic services like clean water and healthcare, and can be disproportionately affected by social and structural barriers, such as discrimination against ethnic minorities, women, and indigenous populations.

a) Extremely low and unstable incomes
   - Earnings concentrated in casual, informal, seasonal, or subsistence activities.
   - Frequent income shocks (illness, crop failure, job loss) and large intra-year variability.
   - Little access to regular wage jobs or formal contracts.

b) Very limited asset ownership and low asset quality
   - Minimal financial assets (savings, formal credit), low land ownership, small or degraded productive capital (tools, livestock).
   - Housing often insecure or substandard; human capital (education, skills, health) limited.

c) High dependency on informal networks and transfers
   - Reliance on family, community, remittances, informal lenders; transfers are irregular and often insufficient.
   - Social networks provide risk-sharing but may be thin or exclusionary.

d) Restricted access to formal markets and institutions
   - Low participation in credit, insurance, labor market intermediaries, and product markets.

- Higher transaction costs, market failures (information asymmetries, lack of collateral), and exclusion from public programs.

e) Binding liquidity and credit constraints
   - Inability to smooth consumption or invest; forced liquidation of productive assets during shocks.
   - High-cost informal credit (moneylenders, asset-based loans) and exclusion from formal microfinance for the poorest.

f) Poor human capital and health burdens
   - Low levels of schooling, early dropouts, malnutrition, and high disease burden that reduce productivity and increase medical expenditures.
   - Intergenerational transmission: child stunting, learning deficits, lower lifetime earnings.

g) High underemployment and low productivity
   - Excess labor supply in low-return activities (petty trade, casual farm labor); low returns to additional labor effort.
   - Technology adoption is constrained by credit, information, and complementary inputs.

h) Spatial concentration and isolation
   - Clustering in remote rural areas, urban slums, or marginalized regions with poor infrastructure and services.
   - Geography increases costs of service delivery and market access.

i) Greater exposure and vulnerability to shocks
   - Natural disasters, price swings, pandemics hit poorest disproportionately and recoveries are slower.
   - Limited insurance, weak public safety nets; shocks often push households below subsistence thresholds.

j) Social and institutional exclusion
   - Discrimination by caste, ethnicity, gender, or migrant status that limits access to jobs, land, and public programs.
   - Weak legal claims on assets and poor governance in their localities.

In India, the high-poverty population primarily consists of Scheduled Castes (SCs), Scheduled Tribes (STs), and informal laborers in both rural and urban settings. Their economic characteristics are defined by a complex interplay of historical disadvantages, social inequality, and limited access to resources and opportunities. Major poverty groups in India are:

a) Rural Poverty

Perhaps the most valid generalizations about the poor are that they are disproportionately located in rural areas, that they are primarily engaged in agricultural and associated activities, that they are more likely to be women and children than adult males, and that they are often concentrated among minority ethnic groups and indigenous peoples. Data from a broad cross section of developing nations support these generalizations. We find, for example, that about two-thirds of the very poor scratch out their livelihood from subsistence agriculture either as small farmers or as low-paid farmworkers. Some of the remaining one-third are also located in rural areas but engaged in petty services, and others are located on the fringes and in marginal areas of urban centres, where they engage in various forms of self-employment such as street hawking, trading, petty services, and small-scale commerce

Although the poverty of India's slums and urban areas is evident to any observer, statistical data shows that most of the sub-continent's poor live in rural areas: 70 percent of Indians, and more or less as many of India's poor, live in rural areas. Agriculture, which constitutes the main activity of 60 percent of the active population in rural areas, is indissociable from this rural poverty and hence from the India's spatial divide. It is sometimes described as a residual activity, which is abandoned by the richest, and no longer involves the masses of rural workers of the past. In a context of low growth in the agricultural sector, as compared with the rest of the economy since the 1990's, non-agricultural jobs occupied by people living in rural areas are the object of increasing attention and give rise to renewed hopes of moving out of poverty. It is true that all over India the numbers of these non-agricultural jobs are on the increase and studies show that their development has led to a decrease in poverty in the zones studied but this is nonetheless accompanied by a reinforcement of inequality.

b) Women and Poverty

Women in India are disproportionately affected by poverty due to factors like low labor force participation, unequal access to education and healthcare, and the burden of unpaid care work. This creates a cycle where economic dependence makes them vulnerable to domestic violence, trafficking, and a lack of decision-making power within the household and economy. Major reasons of women poverty are:

- **"Feminization of poverty":** Poverty disproportionately affects women due to gender-based inequalities in access to resources, education, healthcare, and economic opportunities.

- **Low labor force participation:** India has a low female labor force participation rate, and many women's economic contributions in unpaid domestic work are undervalued.

- **Informal and low-wage work:** Women from high-poverty backgrounds are heavily concentrated in the informal economy, where they face lower wages, job insecurity, and greater exploitation.

- **Limited ownership of assets:** Access to economic assets like land and property is curtailed by patriarchal norms, limiting their financial autonomy.

Women tend to be doubly burdened by poverty thereby enhancing their vulnerability significantly. The pressure to seek market forms of employment among poorer women is intensified by the need for the additional contribution to the household income. The stereotypical role casting whereby women have the responsibility of providing for certain basic amenities in fact constrains their availability for paid work as well. In some households where, cultural norms and taboos prevent public participation of women as wage earners in the labour market, the burden of reducing costs by deploying their own labour services to avoid market purchases puts women under tremendous stress.

c) Ethnic Minorities, Indigenous Populations, and Poverty

A final generalization about the incidence of poverty in the developing world is that it falls especially heavily on minority ethnic groups and indigenous populations. In India, Scheduled Tribes (STs)—also known as Adivasis—and Scheduled Castes (SCs), often called Dalits, face a disproportionate burden of poverty. A 2021 UN report found that five out of six multidimensionally poor people in India belong to a Scheduled Tribe, Scheduled Caste, or Other Backward Class (OBC). The poverty faced by these groups is multidimensional, encompassing poor health, low education, and inadequate living standards, in addition to low income.

Scheduled Tribes (STs) and poverty

- **Highest poverty rates:** The ST population is the poorest ethnic group in India. A 2021 UN report noted that half of India's tribal people, or 65 million people, live in multidimensional poverty. A 2022 study confirmed that STs have the highest rates of multidimensional poverty across all social groups in India.

- **Exclusion and isolation:** Unlike SCs, tribal populations are often geographically isolated in remote forest and hill areas, which contributes significantly to their poor outcomes. This isolation limits their access to basic services, markets, and government institutions.
- **Deprivation indicators:** Research shows that STs experience the highest rates of deprivation across all indicators of multidimensional poverty, including cooking fuel, sanitation, housing, and nutrition. They also have particularly high levels of deprivation in education and standard of living indicators.
- **Health challenges:** Indigenous populations have significantly poorer health indicators compared to the general population. They face a higher risk of infant and child mortality, along with widespread issues like malnutrition and infectious diseases.

Scheduled Castes (SCs) and poverty

- **Systemic disadvantage:** As the sub-community perceived to be at the lowest hierarchy of the Hindu caste system, SCs have a long history of systemic social, educational, and economic exclusion.
- **Disproportionate poverty:** A 2021 UN report indicated that 33.3 percent of the SC population lives in multidimensional poverty.
- **Urban poverty and asset gaps:** While poverty has declined for SCs, especially in urban areas, significant disparities remain. An analysis of the 2019 All India Debt and Investment Survey revealed that the average household wealth of SCs in urban areas is roughly half that of the general urban population.
- **Lingering discrimination:** Despite legal protections and affirmative action policies, Dalits continue to face discrimination and violence based on their caste status.

Factors contributing to poverty of SCs and STs

- **Social exclusion and discrimination:** Historical and persistent social hierarchies and discrimination are major drivers of poverty and marginalization for these groups.

- **Geographic isolation:** Remoteness from urban centers and main economic hubs restricts access to essential services, employment opportunities, and markets, particularly for many tribal communities.
- **Lack of access to education and skills:** Lower educational attainment significantly hinders employment prospects and traps many in a cycle of poverty. For some marginalized children, poverty forces them into child labor, which further limits their education.
- **Underutilization of resources:** While the government has implemented welfare programs, issues with governance, corruption, and the delivery of schemes can lead to uneven distribution and underutilization of resources among marginalized groups.
- **Cultural and institutional barriers:** Language barriers, cultural beliefs, and lack of information about available schemes can also prevent full access to public services for tribal communities.

Other shared characteristics of Poverty

High-poverty groups share other economic and social characteristics regardless of their specific subgroup.

- **Helplessness and low aspirations:** Many poor individuals live with a sense of helplessness and resignation. This can lead to low levels of aspiration, which are often transmitted across generations.
- **Ineffective policy implementation:** While many government welfare programs exist, issues like corruption and bureaucratic inefficiencies often prevent them from reaching the most vulnerable.
- **Limited economic mobility:** A lack of skills, education, and capital—combined with social discrimination—traps many in intergenerational cycles of poverty with little chance for upward mobility.

Multiple Choice Questions

1. What is a primary characteristic of high-poverty groups in India?

A) High levels of regular wage employment

B) Access to quality healthcare and education

C) Extremely low and unstable incomes

D) Ownership of productive assets

Answer: C) Extremely low and unstable incomes

2. Which factor contributes significantly to the high poverty rates among Scheduled Tribes (STs) in India?

A) High levels of formal education

B) Geographic isolation from basic services

C) Equal access to government institutions

D) Strong community networks for financial support

Answer: B) Geographic isolation from basic services

3. In the context of high-poverty groups, what does "binding liquidity and credit constraints" refer to?

A) Access to affordable educational programs

B) The inability to smooth consumption during economic shocks

C) High levels of savings among poor households

D) Frequent employment opportunities in formal markets

Answer: B) The inability to smooth consumption during economic shocks

4. What is a significant barrier to employment faced by Scheduled Castes (SCs) in India?

A) High levels of job training and skill development

B) Discrimination based on caste status

C) Abundant access to financial capital

D) Efficient implementation of welfare programs

Answer: B) Discrimination based on caste status

5. Which of the following statements about rural poverty in India is true?

A) Most of the rural poor are engaged in formal employment.

B) The majority of rural poor are women and children.

C) Rural poverty is primarily confined to urban slums.

D) Rural areas have higher levels of access to education compared to urban areas.

Answer: B) The majority of rural poor are women and children.